Krishna Institute of Medical Sciences Ltd

Q4FY22 Result Update | Hospitals

On Expansion Spree

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

21-May-22

KIMS posted stable set of numbers with muted topline growth (+4%) & good EBITDA Margin growth (+13%) on YoY basis while sequentially there was a drag on topline & EBITDA on account of omicron variant & change in payer mix

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,562	23

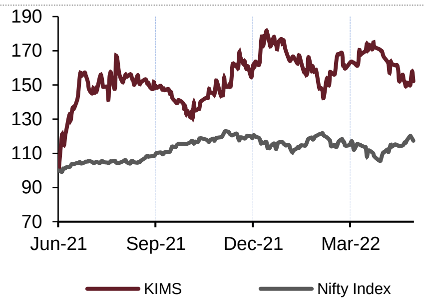
Market data		
Current price	Rs	1,265
Market Cap (Rs.Bn)	(Rs Bn)	100
Market Cap (US$ Mn)	(US$ Mn)	1,295
Face Value	Rs	10
52 Weeks High/Low	Rs	1565 / 937.55
Average Daily Volume	('000)	23
BSE Code		543308
Bloomberg		KIMS.IN

Source: Bloomberg

Key Business Highlights

- KIMS signs MOU to set-up a 325-bed multi-specialty hospital at Nashik in partnership with Dr. Raj Nagarkar ; To hold 51% stake in joint entity with Dr.Raj Nagarkar ; Expected to operationalize in FY24 ; Target EBITDA Margin of 25% to be achieved in 4-6 years ; Total Cost : 2,000 Mn – 2,500 Mn ; Phase 1 : 1,600 -1,800 Mn Outlay (KIMS Share for 51% : ~900 Mn) ; ARPOB to be in the range of 25K
- Company levels EBITDA Margin to be maintained in the range of 27-28% in coming years
- To add 1800+ beds in next 3-4 years
- CFO/EBITDA conversion to be in the range of 67-70% based on current runrate
- Payer mix going forward (Cash/insurance: 78% ; Corporates/Arogyasri : 22%)
- To operationalize all commissioned beds (3,064 beds ex-sunshine) from current 2246 beds in next 12 months
- Sunshine Q4FY22 occupancy @ 50% (~600 beds)
- Focus on inorganic expansion to continue

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	38.84	38.84
Public	61.16	61.16
Total	**100**	**100**

Source: Bloomberg

Key Financials Highlights

- Revenue at INR 3,723 Mn, -5% qoq / +4% yoy
- EBITDA (Excl OI) at INR 1,136 Mn, -12% qoq / +13% yoy
- EBITDA margin (Excl OI) at 30.5% vs 33% / 28% in Q3FY22 / Q4FY21
- PAT at INR 833 Mn, -1% qoq / +42% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	11,226	13,299	16,508	20,832	24,200
EBIDTA	2,450	3,709	5,158	6,066	6,908
Margins	21.8	27.9	31.2	29.1	28.5
PAT (adj)	1,192	2,012	3,327	3,614	4,075
Growth (%)	-	68.7	65.4	8.6	12.8
EPS	16.0	25.9	41.6	45.2	50.9
P/E (x)	79.0	48.8	30.4	28.0	24.8
P/B (x)	15.8	11.4	7.3	5.8	4.7
EV/EBITDA (x)	39.4	26.3	19.6	15.6	14.2
RoE (%)	19.9	23.3	24.0	20.7	18.9
ROCE (%)	19.9	27.3	28.6	27.3	25.1

Source: Dalal and Broacha

Key Risk :

- High dependency on healthcare professionals
- High dependency on one facility
- Dependence on top doctors
- Cessation of lease
- Clinical negligence
- Government intervention

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Quarterly Financials

(Rs.Mn)	Q4FY22A	Q4FY21	YoY Growth (%)	Q3FY22	QoQ Growth (%)
Revenue from Operations	**3,723**	**3,585**	**4%**	**3,936**	-5%
Other Income	82	42	96%	24	242%
Total RM Cost	751	773	-3%	822	-9%
Employee Benefits Expense	649	564	15%	610	6%
Other Expenses	1,188	1,240	-4%	1,206	-1%
Total Expenses	2,588	2,577	0%	2,638	-2%
EBITDA (Excluding Other Income)	**1,136**	**1,009**	**13%**	**1,298**	**-12%**
Depreciation and Amortisation Expenses	186	166	12%	188	-1%
EBIT / PBIT	**1,031**	**884**	**17%**	**1,133**	**-9%**
Finance Costs	39	74	-48%	30	30%
EBT/ PBT	**993**	**810**	**23%**	**1,104**	**-10%**
Tax Expense	235	224	5%	282	-17%
Net Profit after Tax	**833**	**586**	**42%**	**842**	**-1%**
Earning Per Share	10.1	7.4	35%	10.1	-1%
Margins (%)					
EBITDA Margins (Excl Other Income)	30.5%	28.1%	237	33.0%	-247
PAT Margins	21.7%	16.1%	555	20.6%	105
Key Operational Metrics					
IP Volumes	32,588	32,732	0%	36,229	-10%
OP Volumes	2,70,897	2,61,867	3%	2,79,978	-3%
ARPOB (Rs)	25,144	21,591	16%	23,189	8%

Source: Dalal & Broacha Research

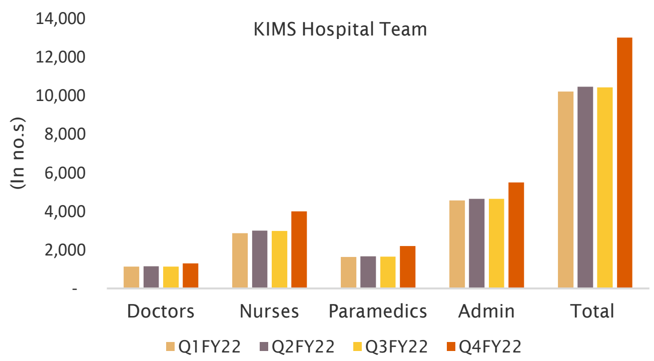
Revenue saw muted growth on YoY basis mainly on account of omicron variant in January 2022 & lower days in the month of February

EBITDA margins expansion was driven by speciality mix and payor mix change over FY21 last year and operating leverage

Did you know?

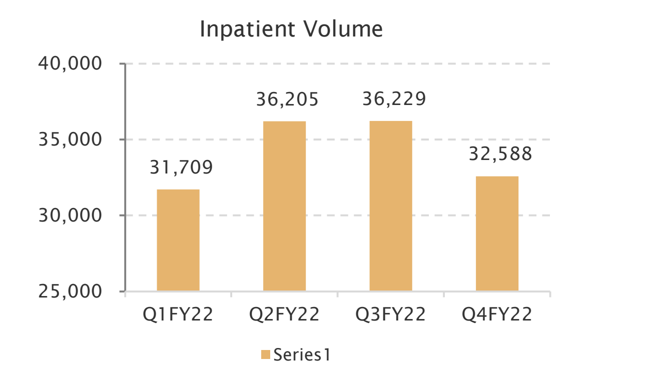
In a populous country like India occupancy is not a constraint but affordability is. KIMS is one of the lowest cost healthcare service providers with industry leading margins backed by consistent volumes driven by doctors who own equity in the company.

Exhibit 1:



Source: Company, Dalal & Broacha Research

Exhibit 2:



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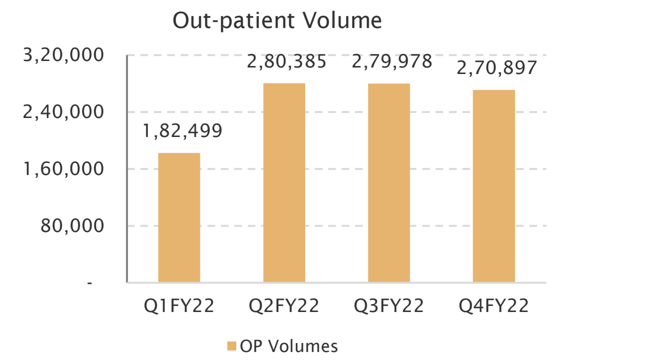

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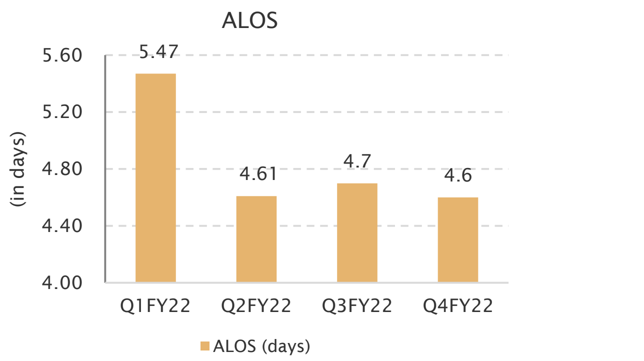

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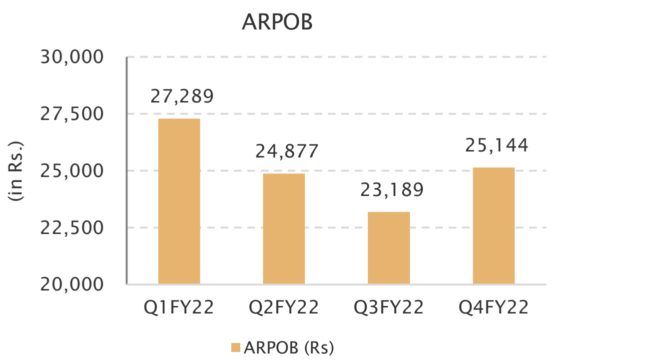

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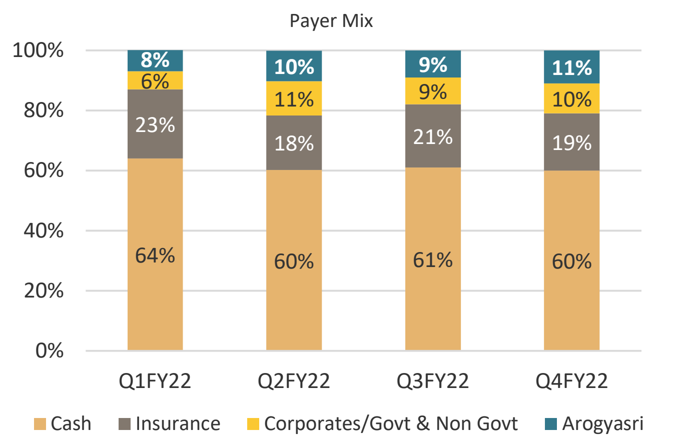

Source: Company, Dalal & Broacha Research

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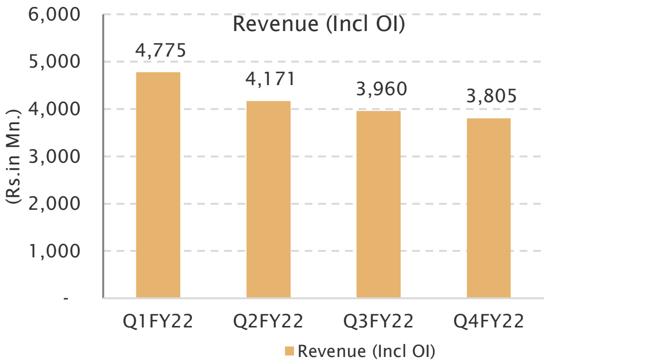

Source: Company, Dalal & Broacha Research

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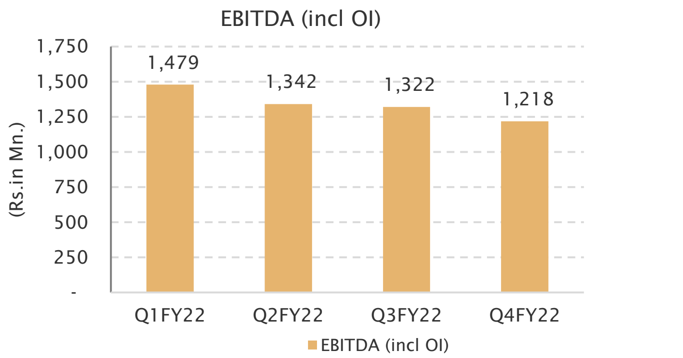

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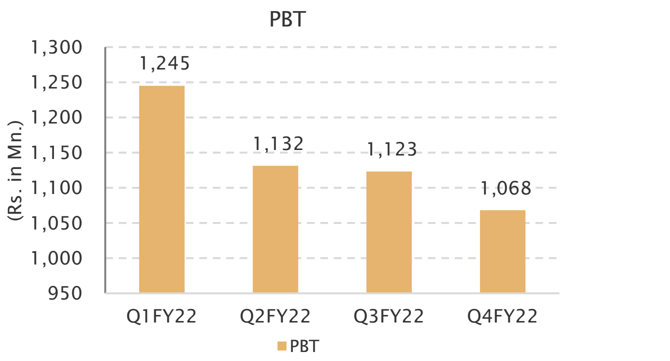

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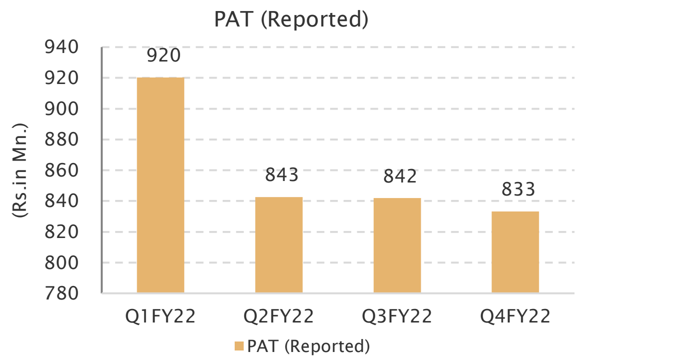

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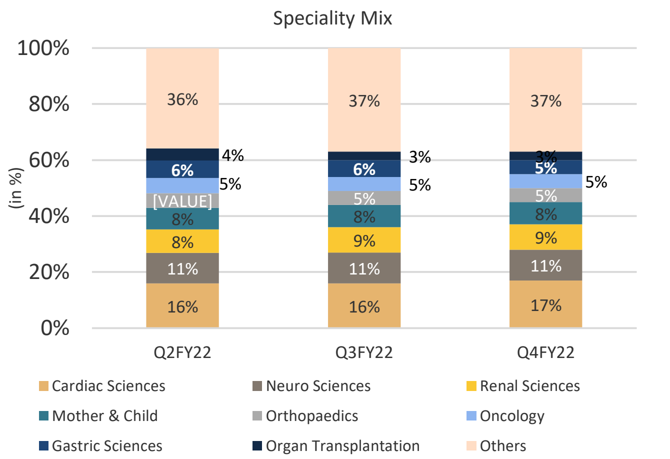

Source: Company, Dalal & Broacha Research

Key Operating Metrics

Particulars	FY18	FY19	FY20	FY21	FY22
Bed Capacity	2,120	2,804	3,004	3,064	3,064
Occupancy on commissioned beds	51.3%	48.6%	55.7%	57.7%	58.5%
IP Volume	88,600	1,11,382	1,40,676	1,16,592	1,36,731
OP Volume	6,61,000	9,00,043	11,37,560	8,30,211	10,13,759
ARPOB (in ₹)	18,832	18,344	18,323	20,599	25,233
ARPP (in ₹)	84,368	81,997	79,523	1,13,910	1,20,735
ALOS (in days)	4.48	4.47	4.34	5.53	4.79
Revenue	6,662	9,239	11,287	13,401	16,711
EBITDA	1,394	1,740	2,511	3,810	5,360
EBITDA (%)	21%	19%	22%	28%	32%

Source: Company, Dalal & Broacha Research

Management Concall KTAs

- **EBITDA margins** expansion on YoY basis was driven mainly by speciality mix, payor mix change and operational leverage **(FY21 EBITDA @ 27.9 vs FY22 EBITDA @31.2%)**
- Company levels EBITDA Margin to be maintained in the range of 27-28% for coming years
- KIMS signs MOU to set-up a **325-bed multi-specialty hospitat at Nashik** in partnership with Dr. Raj Nagarkar ; To hold 51% stake in joint entity with Dr.Raj Nagarkar ; Expected to operationalize in FY24 ; Target EBITDA Margin of 25% to be achieved in 4-6 years ; Total Cost : 2,000 Mn - 2,500 Mn ; Phase 1 : 1,600 -1,800 Mn Outlay (KIMS Share for 51% : ~900 Mn) ; to follow cluster approach to further expand in the peripheral region ; ARPOB to be in the range of 25K
- To commission 1800+ beds in next 3-4 years & operationalize ~ 700 beds in next 12-18 months
- CFO/EBITDA conversion to be in the range of 67-70% based on current runrate
- Payer mix going forward (Cash/insurance : 78% ; Corporates/Arogyasri : 22%)
- To operationalize all commissioned beds (3,064 beds ex-sunshine) from current 2246 beds in next 12 months
- **Sunshine Acquisition key updates :**
- Sunshine Q4FY22 occupancy @ 50% (~600 beds)

  Sunshine GACHIBOWLI

  - To take occupancy to 55-65% from current 30-35%
  - Revenue runrate to be maintained at Rs.170-180 Mn per month (Annual revenue ~ Rs.2,040 Mn)

  Sunshine SECUNDERABAD

  - To see revenue growth @ 35-40%
  - Revenue runrate to be maintained at Rs.300-350 Mn per month (Annual revenue ~ Rs.3,850 Mn)
- **Acquired Assets Key Highlights :**

  Bed Capacity:

  New Clinical specialities of Oncology, Vascular Surgeries and Mother & Child are planned in Ongole, Vizag and Anantapur.This will see addition of Bed and better occupancy in these units.

  ARPOB and ARPP:

  ARPOB and ARPP of Acquired assets have enough headroom to grow to the same levels of Mature Assets.

  ALOS:

  Further reduction of ALOS in Acquired assets is possible as KIMS continues to optimise costs in these units.

  EBIDTA:

  EBIDTA Margin of Acquired assets (~20%) has potential to reach the same levels of Mature assets (~25%)

Valuation & Outlook

KIMS is on expansion spree. KIMS acquisition of sunshine hospitals (~600 beds) & recent MOU in nashik for 325 beds is testimonial to its ability to expand & grow.Management plans to add 1800+ beds in next 3-4 years through organic & inorganic acquisition

We believe KIMS has all the ingredients to become one of India's largest multispeciality hospital chain with superior operating metrics & calibrated growth strategy.

Management has guided for EBITDA margin in the range of 27-29% in the long run even after merger of Sunshine hospitals in KIMS business (lower margin profile).With healthy OCF to EBITDA conversion in the range of 67-70% KIMS has potiential to fund acquisitions through internal accruals.

We recommend investor to **buy the stock on dips** for a **target price of Rs.1,562** valuing KIMS (ex-sunshine) at 20x EV/EBITDA multiple on FY24E earnings & sunshine at 15x EV/EBITDA multiple on FY24E earnings

Valuation	
Particulars	**FY24**
KIMS EBITDA (₹ Mn.)	6,908
Less : Sunshine EBITDA	1,337
KIMS EBITDA Ex of Sunshine	5,571
Target multiple (x)	20
Target EV - (A)	1,11,423
Sunshine EBITDA	1,337
KIMS Stake - 51%	682
Target multiple (x)	15
Target EV - (B)	10,227
Target EV (A + B)	**1,21,650**
Less : Debt	1,947
Add : Cash	5,279
Market Cap (₹ Mn.)	1,24,983
No.of O/s shares (Mn.)	80
Target price	**1,562**
CMP	1,265
Potential Upside (%)	**23%**

Recommendation Summary

Date	Rating	Report Type	Reco. Price	Target	Report
16-Mar-22	Buy on Dips	Initiating Coverage	1,330	1,561	Click to download
20-Mar-22	Buy on Dips	Q4FY22 Result Update	1,265	1,562	

About the Company:

The company was incorporated as 'Jagjit Singh and Sons Private Limited', on July 26, 1973 at Mumbai. Until the year 2003, the company was owned, managed and controlled by Jagjit Singh and certain of his family members, who together owned the entire shareholding of the company. On February 15, 2003, acting in pursuance of the Takeover MoU, certain of their Promoters, namely Dr. Bhaskara Rao Bollineni and BRMH, along with certain other individuals and entities, acquired the entire equity share capital of the company (then 'Jagjit Singh and Sons Private Limited').The company offers multidisciplinary healthcare services with primary, secondary, and tertiary care across 2-3 tier cities and an additional quaternary healthcare facility in tier-1 cities.

Dr. Bhaskara Rao Bollineni is the Promoter and Managing Director of the company. He has over 27 years of experience in cardiothoracic surgery and has in the past held various positions with Apollo Hospitals, Austin Hospital, University of Melbourne and Mahavir Hospital and Research Centre.
Anitha Dandamudi is the Whole-time Director of the company. She has over 16 years of experience in the hospital industry, having held various positions with the company, and has also served as vice president of administration at e-Talent Software Ltd.
Dr. Abhinay Bollineni is the Promoter and Executive Director of the company. He played a key role in establishing KIMS Kondapur in 2014.

Key Managerial Personnel:

Vikas Maheshwari is the Chief Financial Officer of the company. He has been associated with the company since May 1, 2017. He has over 24 years of experience in accounting, finance and treasury.

Umashankar Mantha is the Company Secretary and General Manager (Legal) of the company. He has been associated with the company since July 1, 2015. He has over 17 years of experience in the secretarial and legal sectors.

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	11,226	13,299	16,508	20,832	24,200
Raw Material Cost	(2,542)	(2,889)	(3,552)	(4,687)	(5,445)
Employee Cost	(1,980)	(2,202)	(2,619)	(3,283)	(3,935)
Other Expenses	(4,254)	(4,499)	(5,180)	(6,796)	(7,912)
Operating Profit (EBITDA)	**2,450**	**3,709**	**5,158**	**6,066**	**6,908**
Depreciation	(706)	(695)	(727)	(852)	(1,001)
PBIT	1,744	3,013	4,431	5,214	5,907
Other income	61	102	203	223	245
Interest	(399)	(325)	(160)	(162)	(195)
PBT	1,405	2,790	4,473	5,275	5,958
Share of Profit from JV	-	-	95	-	-
Profit before tax (post exceptional)	1,405	2,790	4,569	5,275	5,958
Provision for tax	(255)	(735)	(1,131)	(1,328)	(1,500)
Reported PAT	**1,151**	**2,055**	**3,438**	**3,947**	**4,458**
MI	(42)	43	111	333	383
Net Profit	1,192	2,012	3,327	3,614	4,075
Adjusted Profit (excl Exceptionals)	**1,192**	**2,012**	**3,327**	**3,614**	**4,075**

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	745	776	800	800	800
CCPS	-	-	-	-	-
Reserves	5,236	7,861	13,073	16,687	20,762
Net worth	**5,981**	**8,637**	**13,873**	**17,487**	**21,562**
MI	125	125	233	4,042	4,426
Non Current Liabilites	3,656	2,816	2,817	2,826	3,135
Current Liabilites	2,188	2,783	2,150	3,074	3,375
TOTAL LIABILITIES	**11,950**	**14,362**	**19,073**	**27,430**	**32,498**
Non Current Assets	9,761	9,850	10,633	16,789	24,715
Fixed Assets	8,334	8,555	8,230	9,683	17,608
Goodwill	848	848	848	5,551	5,551
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	14	29	32	32	32
Long Term Loans and Advances	47	164	175	175	175
Other Non Current Assets	517	253	1,348	1,348	1,348
Current Assets	2,190	4,512	8,440	10,640	7,783
Current investments	-	-	-	-	-
Inventories	304	241	364	400	464
Trade Receivables	1,323	1,098	1,286	1,427	1,658
Cash and Bank Balances	449	2,844	1,901	8,431	5,279
Short Term Loans and Advances	18	23	-	-	-
Other Current Assets	97	306	4,889	383	383
TOTAL ASSETS	**11,950**	**14,362**	**19,073**	**27,430**	**32,498**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	1,192.3	2,011.9	3,326.8	3,613.9	4,075.1
Add: Dep. & Amort.	706.1	695.4	726.7	852.1	1,000.6
Cash profits	**1,898.4**	**2,707.2**	**4,053.6**	**4,466.1**	**5,075.6**
(Inc)/Dec in					
Sundry debtors	(90.0)	224.5	(188.2)	(140.5)	(230.7)
Inventories	(35.2)	62.9	(123.4)	(35.3)	(64.6)
Loans/advances	(9.7)	(121.6)	11.6	-	-
Other Current Assets	290.9	(227.8)	(879.9)	-	-
Current Liab and Provisions	95.9	58.8	(295.1)	226.4	38.2
Sundry Creditors	193.8	84.4	(23.4)	695.1	247.2
Change in working capital	445.7	81.1	(1,498.3)	745.7	(9.9)
CF from Oper. activities	**2,344.1**	**2,788.4**	**2,555.3**	**5,211.8**	**5,065.7**
CF from Inv. activities	**(1,233.9)**	**(916.5)**	**(4,907.7)**	**(2,502.2)**	**(8,926.1)**
CF from Fin. activities	**(634.2)**	**523.9**	**955.5**	**3,820.8**	**707.8**
Cash generated/(utilised)	**476.0**	**2,395.8**	**(1,396.8)**	**6,530.3**	**(3,152.5)**
Cash at start of the year	(27.5)	448.8	2,844.5	1,900.9	8,431.2
Cash at end of the year	448.5	2,844.6	1,447.7	8,431.2	5,278.7

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	21.8	27.9	31.2	29.1	28.5
NPM	10.56	15.01	19.91	17.16	16.67
Tax rate	(18.1)	(26.4)	(24.7)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	22.3	18.5	24.1	26.2	16.2
Operating Profit	202.6	51.4	39.1	17.6	13.9
PBIT	611.7	72.8	47.0	17.7	13.3
PAT	(349.4)	68.7	65.4	8.6	12.8
Per Share (Rs.)					
Net Earnings (EPS)	16.01	25.93	41.57	45.16	50.92
Cash Earnings (CPS)	25.5	34.9	50.7	55.8	63.4
Dividend	-	-	-	-	-
Book Value	80.3	111.3	173.3	218.5	269.4
Free Cash Flow	22.0	29.3	31.2	36.4	(42.2)
Valuation Ratios					
P/E(x)	**79.0**	**48.8**	**30.4**	**28.0**	**24.8**
P/B(x)	15.8	11.4	7.3	5.8	4.7
EV/EBIDTA(x)	39.4	26.3	19.6	15.6	14.2
Div. Yield(%)	-	-	-	-	-
FCF Yield(%)	**1.7**	**2.3**	**2.5**	**2.9**	**(3.3)**
Return Ratios (%)					
ROE	20%	23%	24%	21%	19%
ROCE	20%	27%	29%	27%	25%

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